6-4b Acquiring and Neutralizing Location Advantages

Note that from a resource-based view, location advantages do *not* entirely overlap with country-level advantages such as factor endowments discussed in Chapter 5. Location advantages refer to the advantages one firm obtains when operating in one location due to its *firm-specific* capabilities. In 1982, General Motors (GM) ran its Fremont, California, plant to the ground and had to close it. Reopening the same plant, Toyota in 1984 initiated its first FDI project in the United States (in a joint venture [JV] with GM). Since then, Toyota (together with GM) has leveraged this plant's location advantages by producing award-winning cars that American customers particularly like, the Toyota Corolla and Tacoma. The point is: it is Toyota's unique capabilities, applied to the California location, that literally saved this plant from its demise. The California location in itself does not provide location advantages per se, as shown by GM's inability to make it work prior to 1982.

Firms do not operate in a vacuum. When one firm enters a foreign country through FDI, its rivals are likely to follow by undertaking additional FDI in a host country to either

(1) acquire location advantages themselves or

(2) at least neutralize the first mover's location advantages.

These actions to follow competitors are especially likely in industries characterized by **oligopoly** (Industry dominated by a small number of players.) —industries populated by a small number of players (such as aerospace and semiconductors). The automobile industry is a typical oligopolistic industry. In China, Volkswagen was the first foreign entrant, starting production in 1985 and enjoying a market share of 60% in the 1990s. Now, every self-respecting global automaker has entered China trying to eat some of Volkswagen's lunch. Overall, competitive rivalry and imitation, especially in oligopolistic industries, underscores the importance to acquire and neutralize location advantages around the world.

What advantages did Volkswagen enjoy as one of the first foreign entrants into China's auto market?

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